Note: 8 Income Taxes

The provision for income taxes includes these components for the years ended December 31, 2021 and 2020.

	2021	2020
Taxes currently payable	$ 245,843	$ 768,496
Deferred income taxes	202,338	51,470
Income tax expense	$ 448,181	$ 819,966

	2021	2020
Computed at the statutory rate	$ 440,312	$ 834,894
Increase (decrease) resulting from:		
Bank-owned life insurance	(17,658)	(18,027)
Other	25,527	3,099
Actual tax expense	$ 448,181	$ 819,966

A reconciliation between the statutory income tax and the Company's effective rate follows:

	2021	2020
Computed at the statutory rate	21.00 %	21.00 %
Increase (decrease) resulting from:		
Bank-owned life insurance	(0.84)%	(0.45)%
Other	1.22 %	0.07 %
Effective tax rate	21.38 %	20.62 %

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The tax effects of temporary differences related to deferred taxes shown on the balance sheets at December 31, 2021 and 2020 were:

	2021	2020
Deferred tax assets		
Allowance for loan losses	$ 338,304	$ 333,573
Loans held for sale	39,718	72,541
Operating lease right of use liability	29,564	37,879
Directors' Retirement Plan	146,222	126,323
Net operating loss	171,197	178,467
Other	2,117	43,562
	727,122	792,345
Deferred tax liabilities		
Deferred loan costs	(85,026)	(69,911)
Prepaid penalties on FHLB advances	—	—
Dividends on FHLB stock	(332,211)	(332,211)
Mortgage servicing rights	(468,458)	(425,318)
FHLB lender risk account receivable	(480,205)	(408,927)
Depreciation	(261,251)	(248,975)
Operating lease right of use asset	(29,564)	(37,879)
Unrealized gains on available-for-sale securities	(9,881)	(9,095)
Fair value mortgage banking derivative net assets	(25,250)	(74,266)
Other	(106,719)	(72,416)
	(1,798,565)	(1,678,998)
Valuation allowance	(19,322)	(19,322)
Net deferred tax liability	$ (1,090,765)	$ (905,975)

Retained earnings at both December 31, 2021 and 2020, include approximately $766,000 for which no deferred federal income tax liability has been recognized. This amount represents an allocation of income to bad debt deductions for tax purposes only. Reduction of amounts so allocated for purposes other than tax bad debt losses or adjustments arising from carryback of net operating losses would create income for tax purposes only, which would be subject to the then-current corporate income tax rate. The deferred income tax liability on the preceding amount that would have been recorded if it was expected to reverse into taxable income in the foreseeable future was approximately $160,900 at both December 31, 2021 and 2020.

As of December 31, 2020, the Company has net operating loss carryforwards of approximately $575,000 which expire between 2028 and 2036 and $240,000 with no expiration. A valuation allowance for deferred tax assets is provided for all or some portion of the deferred tax asset when it is more likely than not an amount will not be realized. An increase or decrease in the valuation allowance that results from a change in circumstances is included in income tax expense in the period they are identified. At December 31, 2021, the Company has a valuation allowance of $19,322 to reduce deferred tax assets to the amount that is more likely than not to be realized under Code Section 382 limitations.